Is gut feel important to trading?

Absolutely. I have learned to trust my judgment. Gut feel is important, and you can trade off of it, but you need to have a set of rules that control your size and stop loss points.

What are the trading rules you live by?

If you wake up thinking about a position, it’s too big.

Never stop asking questions. Speak to as many people as you can. Research every opposing opinion.

When everything lines up, you need to swing for it because in those situations, even if you are wrong, you probably won’t be wrong by that much. But if the position starts behaving in a way you don’t understand, you need to cut it because then you clearly don’t know what is going on. The market is telling you that you don’t know.

What is your philosophy about the markets?

The market is not about facts; it’s all about people’s opinions and positions. Consequently, anything can be at any price, any time. Once you understand that, you realize that you need to have protective stops.

Any final words?

Your job as a trader is to make the line go from bottom left to top right. That’s it. If the line goes down too much or too long, you were wrong. You can’t argue that the market is wrong because it is your job to predict every move in the market. You had managers in 2008 who lost 50 percent, and in some cases even as much as 80 percent. Why? Because they couldn’t accept they were wrong. They kept doing the math, and they kept saying they were right. They missed the point. Their math might have been right, but their job isn’t to do the math; their job is to trade what is in front of them. You had guys saying they were right, the market was wrong, and that they had billions of dollars of embedded value in their portfolio. Their job isn’t to create billions of dollars of embedded value; their job is to make the line go from bottom left to top right. Once you understand that is your job as a trader, you have to start protecting the direction of the line.